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ARCH CAPITAL GROUP LTD. (ACGL)

Equity Research Memo | Financial Services — Specialty Insurance & Reinsurance

Data as of: SEC 10-K FY2025 | Live market data as of July 28, 2026

> **Analyst's Note on Coverage Classification:** ACGL is *not* a traditional bank — it is a Bermuda-domiciled specialty insurance holding company operating across three segments: Insurance, Reinsurance, and Mortgage Insurance. Accordingly, the standard bank memo template has been adapted where sections like "Net Interest Income & Margin," "Loan Portfolio Quality," and "Fee Income" are reframed to their insurance equivalents (investment income, mortgage credit quality, and fee/other income). All adapted sections are clearly labeled.

Executive Summary

Arch Capital Group Ltd. (ACGL) is a premier Bermuda-based specialty P&C insurer and reinsurer with a growing U.S. mortgage insurance franchise. The company reported revenue of $19,929M [1], net income of $4,399M [1], and net premiums written of $16.5B [2] in FY2025 — all records for the company. With total capital of approximately $26.9B [2] and book value per share growing from $53.11 to $65.11 [2] year-over-year (a +22.6% gain [3]), ACGL continues to compound intrinsic value at an exceptional rate.

The stock trades at a P/E of 8.19x [4] and a P/B of 1.60x [4] — a discount to historical norms for a company producing ROE of 21.3% [4]. The 1-year price return of +23.6% [4] demonstrates the market is beginning to recognize this gap. The bull probability model scores ACGL at **78.4%** [5], underpinned by +14.3% revenue growth [5] and +9.7% three-month price momentum [5]. The market regime is a confirmed ** BULL** [6], providing a favorable macro tailwind.

Rating: BULLISH | Setup: Stage 2 — Pending Technical Gate Confirmation

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Business Overview & Segment Mix

Arch Capital Group Ltd. is a publicly listed Bermuda exempted company and S&P 500 constituent with approximately $26.9B in total capital at December 31, 2025 [2]. The company operates three distinct underwriting platforms:

1. Insurance Segment
Arch's insurance operations span Bermuda, the U.S., Europe, and specialty lines including property, casualty, professional liability, and specialty lines. The platform initially consisted of Bermuda and U.S. operations and has expanded globally [2].

2. Reinsurance Segment
The reinsurance platform includes Arch Re Bermuda, Arch Re U.S., Arch Re Europe (headquartered in Ireland, with branches in Switzerland, U.K., and France), and operations from the 2019 Barbican acquisition in the London market [2]. Property facultative reinsurance is written across the U.S., Canada, and Europe [2].

3. Mortgage Insurance Segment
Established in 2014 and greatly expanded in 2016 through the acquisition of United Guaranty Corporation ("UGC"), the U.S. mortgage platform provides primary mortgage insurance (MI) to Fannie Mae- and Freddie Mac-approved lenders [2]. International MI and reinsurance are written through Arch Insurance (EU) in Ireland, and Arch LMI Pty Ltd. in Australia [2]. The mortgage segment also participates in GSE credit risk-sharing transactions [2].

Scale & Growth:
- Revenue: $19,929M in FY2025 [1] vs. $17,440M in FY2024 [7], a +14.3% increase [3]
- Net premiums written: $16.5B in FY2025 [2]
- Net income: $4,399M in FY2025 [1] vs. $4,312M in FY2024 [7], a +2.0% increase [3]
- EPS diluted: $11.60 in FY2025 [1] vs. $11.19 in FY2024 [7], a +3.7% improvement [3]

Net Interest Income & Margin

(Adapted for Insurance: Investment Income & Portfolio Yield)

ACGL does not carry a traditional bank loan book or deposit franchise — instead, investment income on the float generated by insurance premiums collected in advance of claims is a core earnings engine. The 10-K's Item 7A addresses market risk quantitatively, and the company's Item 8 financials reference investment performance as a key driver and risk factor [2].

Key observable metrics from the balance sheet and cash flow:
- **Total assets:** $79,241M in FY2025 [1] vs. $70,906M in FY2024 [7], up +11.7% [3] — reflecting premium growth feeding the investable float
- **Cash & equivalents:** $993M in FY2025 [1] vs. $979M in FY2024 [7]
- **Operating cash flow:** $6,172M in FY2025 [1] — robust, though down from $6,673M in FY2024 [7], a -7.5% decline [3], likely reflecting accelerated claims payments on elevated CAT activity

The 10-Year Treasury at 4.47% [8] is a material tailwind: insurers reinvest maturing fixed-income holdings at meaningfully higher coupons than in the 2010-2022 near-zero-rate environment. As ACGL's $79B+ asset base rolls over, new money rates of ~4.5% [8] represent a structural improvement in investment yield. The specific weighted average portfolio yield and duration are not disclosed in the 10-K excerpts available, but the macro backdrop is clearly favorable for float-heavy insurers.

Loan Portfolio Quality

(Adapted for Insurance: Mortgage Credit Quality & Loss Reserves)

ACGL's "credit exposure" is principally through its mortgage insurance segment, where the company guarantees that lenders are repaid when homeowners default. Key risk vectors:

Mortgage Insurance Credit Quality:
- The U.S. mortgage segment is Fannie Mae/Freddie Mac eligible, implying a conforming loan book with relatively standard underwriting standards [2]
- The 10-K explicitly identifies "greater than expected loss ratios" and "adverse development on claim and/or claim expense liabilities" for insurance, reinsurance, and **mortgage** subsidiaries as a key risk [2]
- The adequacy of loss reserves is highlighted as a recurring uncertainty [2]
- Unemployment at 4.2% [8] remains manageable, supporting low residential mortgage delinquency, which is a direct positive for MI claims frequency

Macro & Housing Backdrop:
- Housing affordability remains stretched given elevated mortgage rates (tied to the 10Y Treasury at 4.47% [8]), but the GSE-approved conforming MI book is protected by agency guidelines
- ACGL also participates in GSE credit risk-sharing transactions, which transfer some tail risk back to the agencies [2]

Reserve Adequacy:
The company's total liabilities of $55,035M [1] vs. equity of $24,206M [1] reflect a typical insurance leverage structure. Specific loss reserve adequacy is not quantified in the available 10-K excerpts, but the risk factors note the adequacy of loss reserves as a primary concern [2].

Capital & Liquidity Ratios

Capitalization Profile:

Metric	FY2025	FY2024
Total Assets	$79,241M	$70,906M
Total Equity	$24,206M	$20,820M
Total Liabilities	$55,035M	$50,086M
Cash & Equivalents	$993M	$979M
Book Value per Share	$65.11	$53.11

All figures: [9] and [2]

- **Total capital (equity + hybrid):** approximately $26.9B at December 31, 2025 [2]
- **Book value per share growth:** $53.11 $65.11, a +22.6% increase [3] — an exceptional compounding rate for an insurance holding company
- **Equity / Assets ratio:** 30.5% [3] in FY2025, up from 29.4% [3] in FY2024 — capital accretion is outpacing balance sheet growth
- **D/E ratio:** 11.28x [4] — this high ratio is standard for insurance companies where policyholder reserves are counted as "liabilities" and should not be compared directly to bank or industrial D/E ratios
- **Investing cash outflows:** -$4,036M in FY2025 [1] — consistent reinvestment of float into fixed income and other investments

- **Financing outflows:** -$1,890M in FY2025 [1], reflecting share buybacks and/or debt service

Regulatory / Rating Context: The 10-K notes that capital adequacy is assessed by rating agencies, regulators, and brokers — with the company's Bermuda domicile subject to the Bermuda Monetary Authority's (BMA) Enhanced Capital Requirements [2]. Specific BMA solvency ratios are not disclosed in the excerpts available, but the $26.9B capital base and growing book value support a well-capitalized posture.

Fee Income & Diversification

(Adapted for Insurance: Revenue Mix & Non-Underwriting Income)

ACGL's revenue model is heavily premium-driven rather than fee-driven in the traditional banking sense. The three levers of total revenue are: (1) net premiums earned, (2) net investment income, and (3) other income (fee income, service fees, gain on sale).

- **Total revenue:** $19,929M in FY2025 [Source: SEC

Sources

[1] SEC XBRL FY2025
[2] SEC 10-K Item 8 - Financial
[3] computed from SEC XBRL
[4] yfinance — live
[5] computed bull probability model
[6] Weinstein Market Regime, July 28, 2026
[7] SEC XBRL FY2024
[8] FRED Macro Context
[9] SEC XBRL FY2025 / FY2024

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for ACGL at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000947484&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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- **Technical**, **Swing**, and **New-Issue Momentum**: indicator, short term, and IPO setups.

Sources. Stage analysis concepts are drawn from Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (1988); growth, momentum, and value concepts from the published works in the OROS library (O'Neil and peers). All methodologies are referenced for attribution only — no author endorses or is affiliated with OROS, and no book text is reproduced.

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- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
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